

The Entrepreneurial Process

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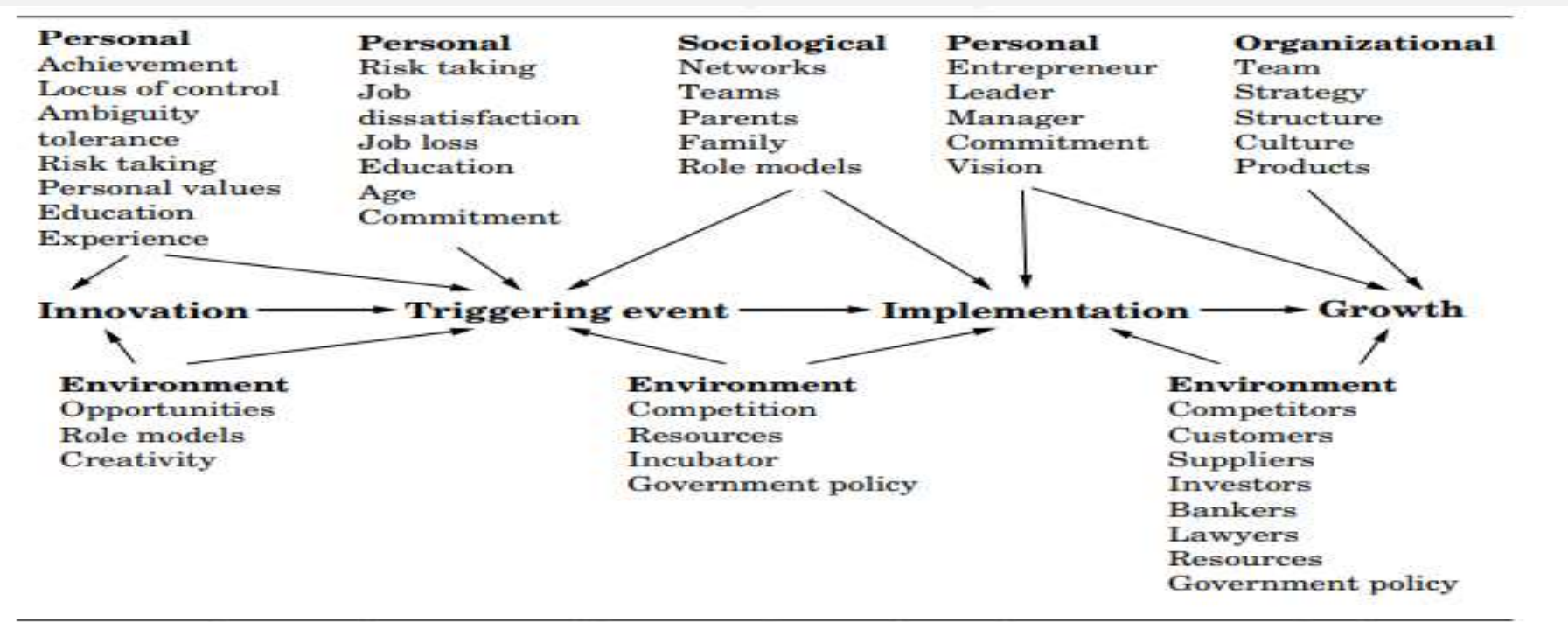
METALANGUAGE

1. Marketing. "The process of planning and executing conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives" (AMA, 2013).

2. Networking. "The activity of meeting people who might be useful to know, especially in your job."
(Source:
<https://dictionary.cambridge.org/dictionary/english/net-working>)

Entrepreneurial Process

- A course of action that involves all functions, activities and actions associated with identifying and evaluating perceived opportunities and the bringing together of resources necessary for the successful formation of a new firm to pursue and seize the said opportunities (Bygrave, 1997:2; Cornwall & Naughton, 2003:62)."



1. Innovation, which includes generating the idea, innovation, identifying a market opportunity, information search, conception, screening ideas for feasibility, identifying where to extract value and the development of the product or service.

Stages	Activities	Skills
Entrepreneurial Process - Stage 1	1. Getting the idea 2. Opportunity identification (idea/scanning the environment, identifying the opportunity, developing the opportunity, evaluating the opportunity and evaluating the team) 3. Opportunity development 4. Opportunity evaluation 5. Assessment of the entrepreneurial team	1. Technical skills 2. Communication 3. Problem solving 4. Motivation (need for achievement) 5. Adaptability to change 6. Time management skills 7. Financial management 8. Human resources 9. Marketing 10. Networking

The Opportunity Identification

The opportunity identification in the stage 1 of the entrepreneurial process includes opportunity identification.

1. **Idea/scanning the environment.** This involves macro scanning and micro scanning.
 - **Micro scanning** is done when one is studying the **micro environment** which involves the environment that has a direct impact on the business being planned. These environments could influence the daily undertakings of your business but the effects are usually not long-lasting.
 - The micro environment includes **customers, suppliers, intermediaries, competitors** and the **general public**.
 - On the other hand, the **macro-environment** is composed of environments that the company can't control but can be really easily affected by it. Business establishments are usually encouraged to track these environments for patterns and updates.
 - The macro-environment of the firm includes **demographic forces, economic factors, technological factors, legal factors, political factors, geographic factors, cultural factors** etc.

The Opportunity Identification

2. Identifying the opportunity. The entrepreneur is encouraged to understand the difference between challenges and opportunities. Opportunities can come from personal experiences or from observations gathered as a result of research. The goal here is to seek better ways of surviving the existing competition. (*opening a coffee shop near a call center area*)

3 . Developing the opportunity. The timely adaption of opportunities fit for the target market can be a good ticket to succeed. Kodithuwakhu & Rosa (2002:434) defined this stage as the *process of combining resources in order to pursue the identified market opportunities*. A systematic research in order to refine the ideas of an entrepreneur is necessary in this stage.

4. Evaluating the opportunity. This screening and evaluation part is critical. A professionally evaluated product or service is essential before taking the risk. Several authors suggested ways in order to evaluate a business idea. The table below is suggested by several authors ((Timmons, 1999:109; Rwigema & Venter, 2004:171; Gartner et al, 1999:223; Carter et al, 1996:157). *It is encouraged that an entrepreneurs must answer each questions.*

EVALUATING THE OPPORTUNITY

Business factor	Questions for evaluation
Product or service	• Description of the product or service, its differentiator, purpose and the need it fills • What competitive advantage / benefits does the product have? • What is the required customer care support for this product/service? • Is the company able to produce product and supply required aftercare support?
Market opportunity	• Where is the market demand? What is the target market? Is it generic or a niche? • Industry characteristics (growth rates, change, entry barriers). • What market share can the product reasonably expect today? In 2, 5 or 10 years? • Timing and length of the window of opportunity? • What competition exists in this market? Substitutes? How big is their turnover? • How accessible are the desired distribution channels?

EVALUATING THE OPPORTUNITY

Business factor	Questions for evaluation
Costing and pricing	• How much will it cost to develop the product and commercialize it? • Where will the funds come from? • How do the pricing, costs and economies of scale compare with competitors? • How easy is it to acquire equipment, skills and other inputs required?
Profitability	• Where is the money to be made in this activity? What are the gross margins? • Would the return on investment be acceptable? What is the payback period? • What are the cash flow patterns and the source of working capital?

EVALUATING THE OPPORTUNITY

Business factor	Questions for evaluation
Capital requirements	• How much capital (people, operating expense and assets) is required to start? • What are the long-term capital needs? • How much of the required capital is secured and where will the rest come from? • What securities are available to guarantee the required funds? • Is there a list of potential funders? In case the funders withdraw their capital?
Issues and risks	• What risks (real and perceived) are inherent with the product/service? • Industry based risks e.g. is the market on a decline? • Are there plans for surviving the death of the lead entrepreneur? • Unreliable forecasts? Inadequate cash flow? • Inability to grow with the demand or cope with shrinking sales? • Supplier and value chain management?

The Opportunity Identification

5. Evaluating the team. A team with strong skills can pursue opportunities better. After evaluating an opportunity, it is essential to check on the people who will make the idea into a reality. Bygrave (1997) and Gartner et al (1999) suggested to evaluate the team using the questions below.



Business factor	Questions for evaluation
Focus	• Is the founder really an entrepreneur, bent on building a company? • Does the entrepreneur (or his team) have some experience (work or industry)? • Do they really like this product/sector? Do they really want this? • Can the team create products to suit that market need? • How stressful is the opportunity for the team?
Selling	• Does the team have the necessary selling and closing skills?

Business factor	Questions for evaluation
Management	• Who will work full time? Do your managers represent competitive advantage? • Does the team have the necessary management and technical skills? • If the required skills are not available, can they be acquired at competitive rates? • How is their relationship with the entrepreneur, commitment and motivation?
Ownership	• Have the critical decisions about ownership and equity splits been resolved? • Are the members committed to these? • Does the owners have enough financial capital for required own contributions?

2. Triggering event, which includes gestation, the motivation to start a business, the decision to proceed, the business planning, identifying the different resources required, risk assessment, resource acquisition and

Entrepreneurial Process - Stage 2	1. Motivation to become an entrepreneur	1. Technical skills (T/S)
	2. Planning	2. Problem solving
	3. Gathering resources	3. Numeracy and literacy
		4. Communication skills
		5. Motivation (need for achievement)
		6. Adaptability to change
		7. Learning abilities
		8. Decision-making skills
		9. Negotiating skill
		10. Financial management
		11. Human resources
		12. Legal
		13. Marketing
		14. Networking
		15. Planning
		16. Role model interpretation
		17. Ability to gather and control resources
		18. Calculated risk taking

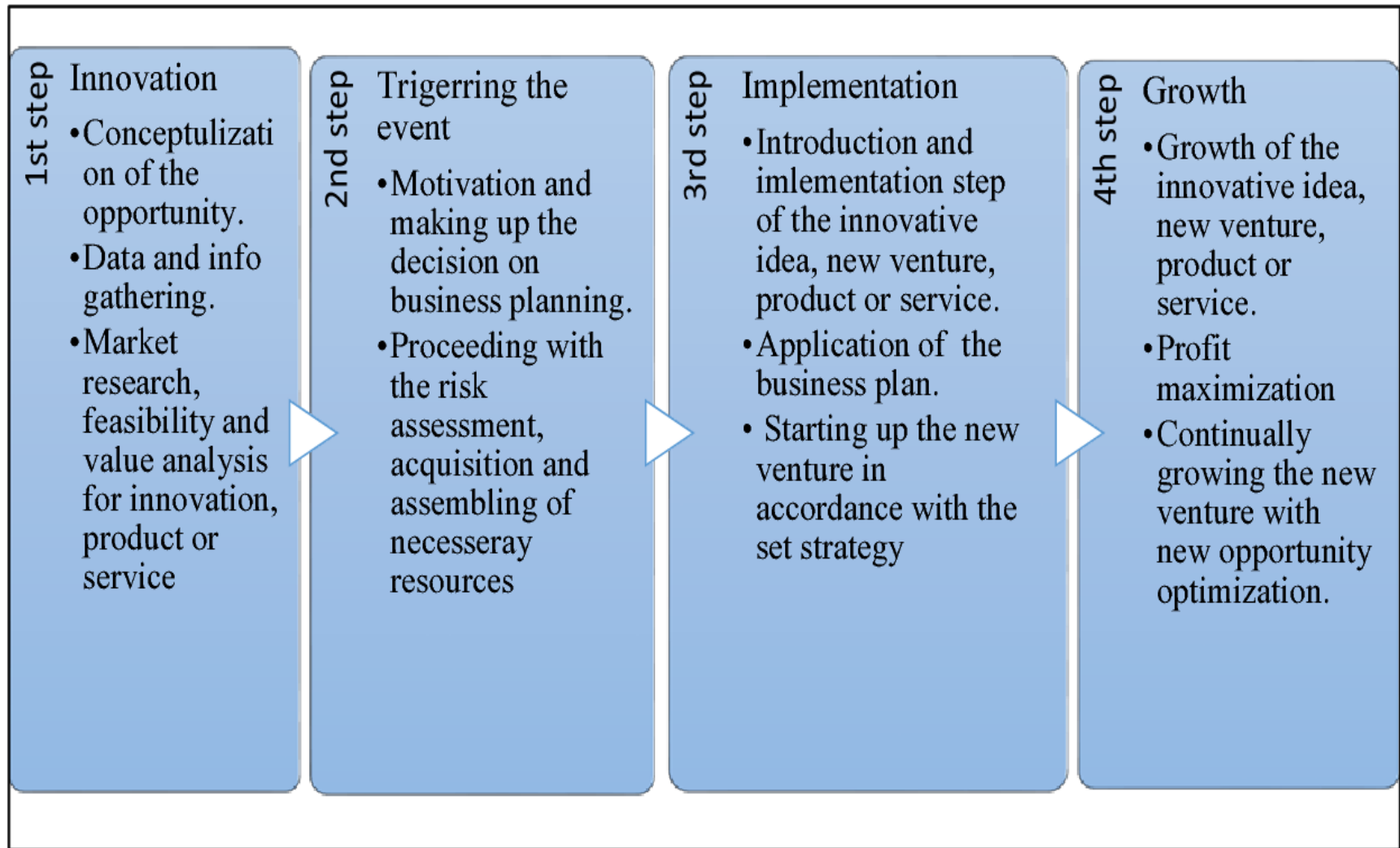
3. Implementation, which includes infancy, incorporation, setting up and launching the new venture, business strategy, implementing the business plan, running the business, deploying of resources, building success and managing the venture.

Skills required for success in stage 3	1. improving organizational capabilities	1. Technical skills (T/S)
	2. implementing a management style in order to grow managerial competencies	2. Problem solving
	3. setting up production processes	3. Decision making skills
	4. setting up structures and systems	4. Motivation (need for achievement)
	5. ensuring quality control	5. Time management
	6. waste elimination and cost effectiveness activities	6. Negotiating skills
	7. dealing with distributors and suppliers	7. Communication skills
	8. selling to customers	8. Adaptability to change
	9. collecting the finance	9. Learning abilities
	10. resolving operational problems	10. Business systems management
	11. fending off competitors	11. General management
	12. steering the organization towards its goals and determining the key variables for success	12. Financial management
		13. Human resources management skills
		14. ICT skills
		15. Marketing
		16. Networking
		17. Operational
		18. Planning
		19. Value chain management
		20. Creativity
		21. Innovation
		22. Opportunity recognition
		23. Role model interpretation
		24. Ability to gather and control resources
		25. Calculated risk taking

4. Growth which includes adolescence, maximizing profits, harvesting the rewards and continually growing the venture to include other opportunities.

Entrepreneurial Process - Stage 4	1. Market expansion	1. Technical Skills (T/S)
	2. Technological change	2. Problem solving
	3. Garnering resources	3. Adaptability to change
	4. Operations	4. Learning abilities
	5. Organizational development	5. Numeracy and literacy
		6. Motivation (need for achievement)
		7. Time management
		8. Communication skills
		9. Negotiating skills
		10. Decision making skills
		11. Business systems management
		12. General management
		13. Financial management
		14. ICT skills
		15. Marketing
		16. Networking
		17. Operational
		18. Research and development
		19. Creativity
		20. Innovation
		21. Opportunity recognition
		22. Ability to gather and control resources
		23. Calculated risk taking

Figure 1. The Model of the Entrepreneurial Process



References: Hisrich, R. D. & Peters, M. P., (2002). *Entrepreneurship*, Fifth Edition, McGraw-Hill/Irwin, New York. and Kang, E., & Uhlenbruck, K. (2006). A process framework of entrepreneurship: from exploration, to exploitation, to exit. *Academy of Entrepreneurship Journal*, 12(1), 47-71. and Bygrave, W. D. and Zacharakis, A. L. (2007). *Entrepreneurship*. NY: Wiley & Sons.

- From the above table, it can be noticed that only the motivation as a skill is considered important in all of the stages in the entrepreneurship process. Moreover, marketing is deemed important in all stage except in stage 2.
- The gathering of resources started to become an important skill from stage 2 until stage 4.
- Opportunity identification is considered important in stage 1 and 4.
- Furthermore, human resources management, financial management and technical skills are deemed necessary in stage 3 and 4.
- Creativity can be seen as an important skill for stage 1 and 3
- Lastly, communication, operations and innovation skills are considered key skills in stage 3.





Thank you....

Any Questions.....